EXPANDING DEVINCI IN ASIA



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TABLE OF CONTENTS

- Strategic Context & Decision Overview
- Evaluation of International Expansion History
- SWOT ANALYSIS
- Comparative Market Attractiveness Analysis
- Competitive Positioning in Target Markets
- Strategic Market Selection & Prioritization
- Recommended Market Entry Strategy



CONTEXT AND DECISION TO BE MADE

Context

- Founded in 1987 in Quebec
- Bike manufacturer known for its high-performance aluminum frames and strong R&D.
- By 2018, the company had successfully expanded into the U.S. and Europe
- Exports accounting for 55% of its sales in 2016.
- New corporate objective seeks 20% annual growth, and threats of U.S. tariffs on exports make diversification essential.

Decision

Global Brand Manager Simon Brodeur must propose a strategy to achieve 1,000 mountain bike sales annually in the APAC region within three years. The main decision is which specific markets to prioritize and what entry modes will best mitigate risk while ensuring growth

EVALUATION OF DEVINCI'S INTERNATIONAL EFFORTS TO DATE

Performance: Exports grew from 5% (2010) to 55% (2016) of total sales.

Approach: Glocal strategy, centralized R&D and high-end manufacturing in Canada with local logistics support.

Choice of Regions: Initial expansion focused on culturally similar or high-demand Western markets (U.S. and Europe).
While the first U.S. attempt failed in 2006, the second expansion in 2011 was successful due to better risk management and a focus on high-end mountain bikes.

SWOT ANALYSIS



S — Strengths

- Patent (Split Pivot)
- Reputation
- Brand Identity (Steve Smith)

W — Weaknesses

- Low brand awareness
- Export costs

O — Opportunities

- China: Latent demand of US$2.216 billion.
- Japan: Record number of ski resorts (543 locations).
- Australia / N-Z: Extensive trail networks (14,117 km / 9,447 km).

T — Threats

- Import taxes in some countries (China = 13%) (reduce price competitiveness)
- Cultural complexity (partnership)
- High competition from established international brands (Giant & Merida)



ASSESSMENT OF ATTRACTIVENESS OF EACH PROPOSED FOREIGN MARKET

Criteria	Japan	Australia	New Zealand	China
Market Potential	$761M latent demand, High per-capita income.	$161M latent demand; Stable, high-value enthusiast base.	$22M demand, High concentration of core mountain bike fans.	$2.2B (Highest in region), rapidly growing middle class.
Import Tariffs	0% (Maximized profit margins for exports).	5% (Low barrier to entry).	5% (Favorable for boutique brands).	13% (Moderate cost pressure on final retail price).
Ease of Business	Rank 34, Strong contract enforcement.	Rank 14, Very efficient trading across borders.	Rank 1 (Globally easiest place to do business).	Rank 78, High regulatory complexity.
Structural Fit	543 ski resorts (Ideal hubs for Downhill).	14,117 km of trails (Most extensive infrastructure in APAC).	9,447 km of trails, national cycling culture.	34 km of recorded trails, focus on racing events.
Psychic Distance	High Power Distance: 54, Needs local partnerships.	Individualism score: 90 (Identical to Canada/US lifestyle).	Individualism score: 79 (Highly compatible brand values)	High "Power Distance": 80, High risk of tech leakage.
Strategic Priority	**Primary (Invest/Grow)**.	**Primary (Invest/Grow)**.	**Selective (Niche focus)**.	**Secondary (Selective/JV)**.

UNIVERSAL COMPETITIVE ADVANTAGES

Technological experts	All high-end models utilize the patented Split Pivot technology, a high-performance suspension system that provides a distinct advantage over mass-market competitors.
R&D Excellence	A 15-person dedicated R&D department, including five full-time engineers, ensures all products meet uncompromising quality and safety standards.
"Made in Canada"	Prestige: As the "last mass producer of bikes in Canada," DEVINCI leverages a boutique brand image and superior craftsmanship in aluminum welding.
Racing Credibility	Performance is validated by the Devinci Global Racing team, which provides critical technical feedback and builds brand awareness among enthusiasts.

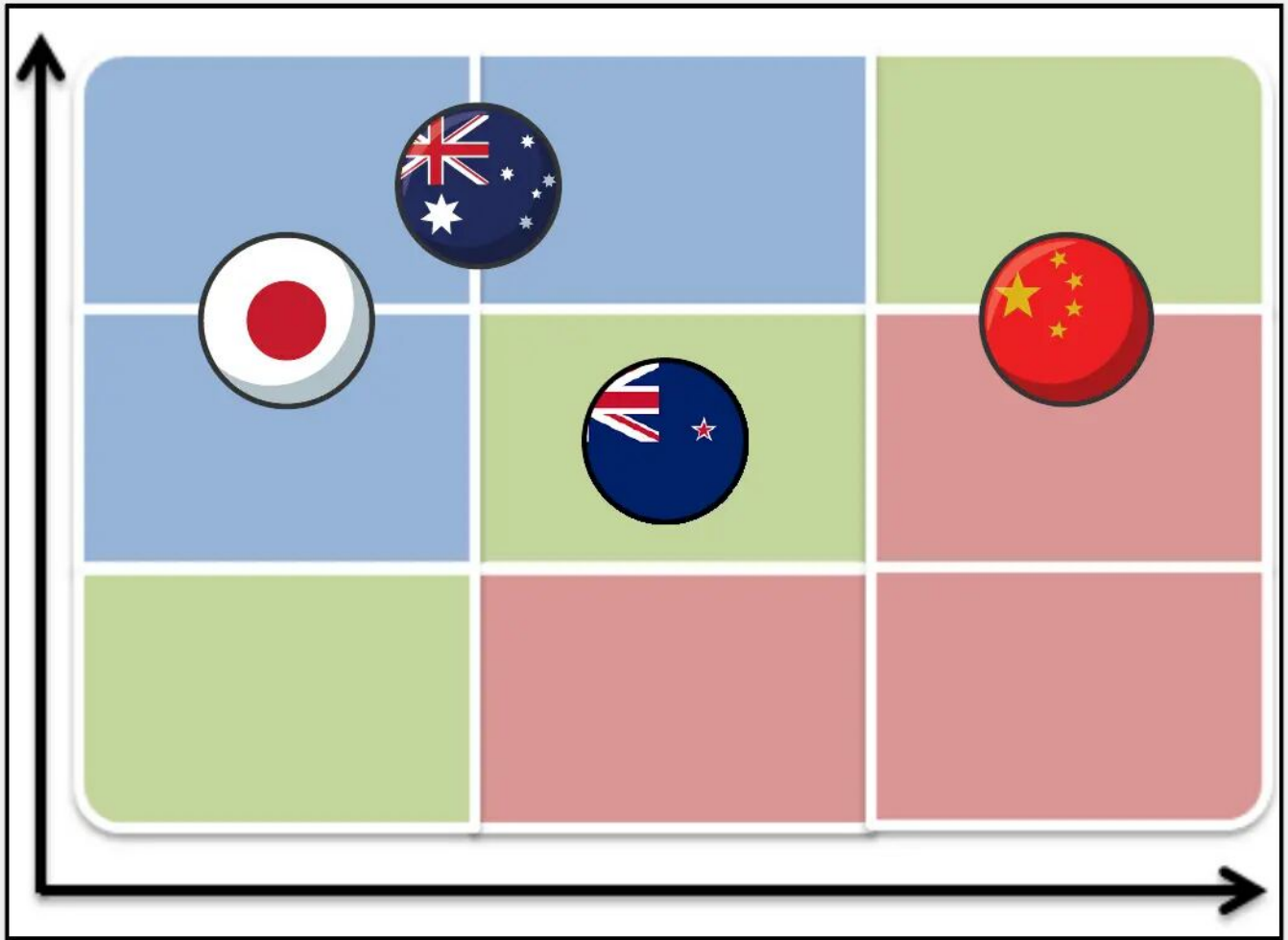
ANALYSIS OF DEVINCI'S COMPETITIVE STRENGTHS PER MARKET

Market	DEVINCI's Specific Competitive Strengths
Australia	**Infrastructure Alignment** DEVINCI's expertise in shock-resistant aluminum frames is usable on 14117 trail kilometers **Cultural Synergy** with an Individualism score of 90 (highest in the study), Australian consumers align with DEVINCI's "Ride Canadian" lifestyle branding.
New Zealand	**Niche Specialist Fit:** A market of high-end enthusiasts where DEVINCI can leverage the low psychic distance (Individualism=79 Ease of Business is ranked first) to implement a standardized, premium strategy. **Brand Halo:** Use of New Zealand athletes on the 2018 racing team gives local legitimacy for the Spartan and Wilson models.
Japan	**Gravity Segment Leadership:** DEVINCI's focus on Downhill (Wilson) performance matches the needs of Japan's 543 ski resorts, which act as primary hubs for gravity-fed riding. **Zero-Tariff Profitability:** DEVINCI can maintain higher margins or reinvest in local promotion as there is 0% import tariff.
China	**Premium Distinction:** In a market dominated by cheap-low quality, DEVINCI's "boutique" status and high-end carbon assembly is a quality signal for the premium clients.

MARKET TO PRIORITIZE

Country	Market Attractiveness	Competitive Strength	Zone
Japan	**High (5/5):** $761M demand, 0% tariff, high income per capita ($37k).	**High (4/5):** 543 ski resorts (essential for the brand's downhill models).	**A**
Australia	**High (4/5):** $161M demand, Low 5% tariff, EODB Rank 14.	**High (5/5):** Huge infrastructure (14,117 km of trails) and English speaking.	**A**
New Zealand	**Medium (3/5):** Smaller demand ($22M), but EODB Rank 1 and low tariff (5%).	**High (4/5):** 9,447 km of trails, and english speaking and lot of renown local athletes on racing team.	**A/B**
China	**High (5/5):** Largest demand ($2.2B), but high EODB rank (78) and 13% tariff.	**Low (2/5):** Only 34 km of trails recorded, high cultural distance (Power Distance: 80).	**B/C**

MARKET TO PRIORITIZE



RECOMMENDATION OF MODES OF ENTRY

Japan : Joint Ventures

- Local Knowledge: A partner navigates the high Power Distance (54) and complex, relationship-based distribution networks
- Niche Infrastructure: A JV helps target the 543 ski resorts, critical hubs for the technical Wilson (Downhill) line.
- Risk Sharing: Shares costs and managerial efforts while enjoying a 0% import tariff to remain price-competitive.

Australia : Direct exporting

- Strategic Rationale: Australia is a country characterized by low entry barriers and high cultural similarity to Canada.
- Operational Ease: High Ease of doing business (Rank 14) and shared language facilitate direct relationships with retailers
- Market Fit: Australia's 14,117 km of trails provide a good volume market for Devinci's bikes.

THANK YOU

For listening